MODULE 26 · DOMAIN 2 - PROCESS

Budgets, reserves and funding

Building a budget from estimates, contingency and management reserves, funding limits, spend tracking, and the financial challenges ahead.

DOMAIN II - Process EXAM WEIGHT 41% MODULE 26 of 49

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A budget is the estimate, plus money for what might go wrong.

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How a budget is built

01

Activity estimates

Cost of each activity.

›

02

Work packages

Activities rolled up.

›

03

+ Contingency

For identified risks.
Gives the cost baseline.

›

04

+ Management reserve

For unidentified risks.
Gives the budget.

ON THE EXAM

Contingency is inside the cost baseline. Management reserve is outside it, but inside the budget.

A budget, worked through

LAYER	AMOUNT	RUNNING TOTAL
Work package estimates	$600,000	$600,000
Contingency reserve, for identified risks	$60,000	$660,000 = cost baseline
Management reserve, for unknown risks	$30,000	$690,000 = project budget

ON THE EXAM

Asked for the cost baseline? Estimates plus contingency. Asked for the budget? Add management reserve too.

Contingency reserve or management reserve?

CONTINGENCY RESERVE

The umbrella you packed

- For identified risks: known unknowns
- Part of the cost baseline
- Used by the PM, per the risk plan
- Sized from risk analysis

MANAGEMENT RESERVE

The rainy-day fund

- For unidentified risks: unknown unknowns
- Outside the baseline, in the budget
- Released by management, via change control
- Often a percentage set by policy

THE TIEBREAKER

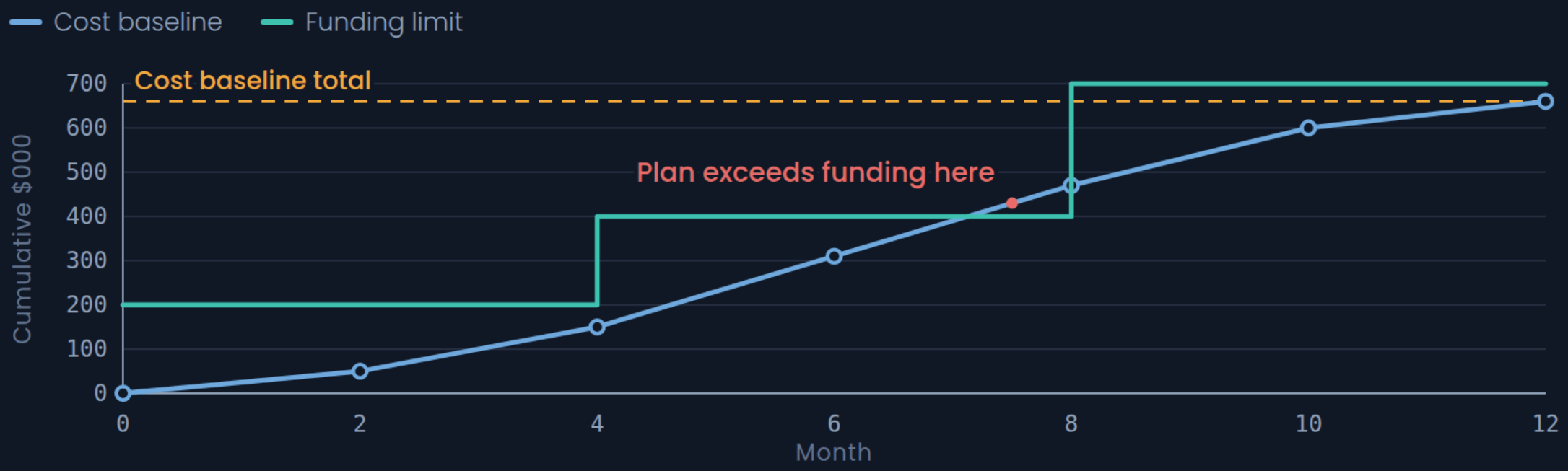
Identified risk occurs: use contingency. Something nobody foresaw: request management reserve.

Quantifying contingency

- The outline asks you to **quantify risk and contingency financial allocations**.
- **Expected monetary value**: probability times impact, summed across risks. Module 36 covers it.
- **Simulation**, such as Monte Carlo, for a confidence level: 'an 80 percent chance of finishing under this cost'.
- A flat percentage with no link to the risk register is a guess dressed as a reserve.

> ON THE EXAM
>
> Contingency comes from risk analysis. The size of the reserve should trace to identified risks.

The cost baseline and funding limits



ON THE EXAM

Spending must stay under the funding limit at every point, not just at the end.

Reconciling the plan with funding

- Compare the cost baseline with **when** funding becomes available.
- Where the plan spends ahead of funding, **re-sequence** work, or delay some spending.
- Or request a change to the **funding profile**, through governance.
- Spending ahead of approved funding, and hoping to be covered later, is not an option.

> ON THE EXAM
>
> Funding limit reconciliation can change the schedule. It is done during planning, not after an overspend.

Analysing financial needs

- **How much**, and **when**: the cash-flow profile, not just the total.
- **Capital or operating** spend: organisations often fund and account for them differently.
- **Currency**, payment terms, and supplier payment schedules.
- **Ongoing costs** after handover: licences, support, maintenance.

> ON THE EXAM
>
> The outline's first finance enabler: analyse project financial needs, including timing, not just size.

Anticipating future finance challenges

- **Inflation** on multi-year work, especially materials and wages.
- **Exchange rates** when costs and budgets are in different currencies.
- **Funding changes**: budget cuts, reprioritisation, a new financial year.
- **Supply shocks**: tariffs, shortages, price rises.
- Treat each as a financial risk: identify it, quantify exposure, and plan a response with finance.

> ON THE EXAM
>
> Anticipate, do not react. Financial exposures are risks, and belong in the risk register.

Planning spend tracking

- Track spend by **control account** or work package, matching the budget structure.
- Track **commitments** as well as **actuals**: an order placed is money already spoken for.
- Agree approval limits: who can authorise what spend.
- Tracking only invoices paid shows spending weeks late.

> ON THE EXAM
>
> Commitments show where spend is heading. Actuals alone show where it has been.

Planning financial reporting

- The outline asks you to **plan financial reporting**.
- What to report: spend, commitments, forecast at completion, reserve use.
- To whom and when: aligned with the **finance calendar** and governance meetings.
- Use the same numbers everywhere, from one source of truth.

> ON THE EXAM
>
> Finance wants forecasts and reserve use, on its own calendar. Plan the reporting to fit.

Managing reserves

- When an **identified risk occurs**, the PM uses contingency, as the risk response plan says.
- When something **unforeseen** happens, request **management reserve** through change control.
- Track reserve drawdown, and report it. A fast-shrinking reserve is an early warning.
- Return contingency when the risk it covered has passed, according to policy.

> ON THE EXAM
>
> Contingency: PM, identified risk, per the plan. Management reserve: management, unforeseen, via change control.

Cost words the exam uses

TERM	MEANING
Direct and indirect costs	Costs of this project's work, and shared overheads allocated to it
Fixed and variable costs	Costs that stay the same, and costs that change with volume
Life-cycle cost	Total cost of ownership, including operating the result
Sunk cost	Money already spent, which cannot be recovered

ON THE EXAM

Sunk cost is ignored in decisions. Decide on future costs and future benefits only.

Finance on agile work

- Fund **teams and timeboxes**: a stable team costs roughly the same each iteration.
- Track **cost per iteration** and **burn rate** against value delivered.
- Fund incrementally, and review at each release whether to keep investing.
- Stopping when enough value is delivered protects the budget, as module 20 described.

> ON THE EXAM
>
> Agile finance fixes the cost of capacity and asks, every release, whether the value justifies continuing.

Project Lantern: the finances

- **Cost baseline**: estimates plus contingency for named risks, such as kiosk price rises and migration rework.
- **Management reserve**: set by Northgate policy, released only by the steering committee.
- **Funding**: quarterly tranches; the second clinic's go-live was moved a month to fit.
- **Currency risk**: kiosks priced in euros, so a price adjustment clause was agreed with finance.

> ON THE EXAM
>
> Contingency traced to risks, reserve held by governance, spending fitted to funding, exposures planned for.

Scenario signals and the move

THE SCENARIO SAYS	THE MOVE
Estimates, contingency and reserve given	Baseline = estimates + contingency; budget adds reserve
An identified risk has occurred	Use contingency, per the risk response plan
Something nobody foresaw has happened	Request management reserve via change control
'We have spent too much to stop'	Ignore sunk cost; decide on future cost and benefit
Planned spend exceeds funding in a period	Reconcile: re-sequence or change the funding profile
Costs exposed to exchange rates or inflation	Treat as a financial risk and plan a response

ON THE EXAM

Know which money is which, who can spend it, and when it arrives.

> A project's work package cost estimates total $800,000. The risk analysis supports a contingency reserve of $80,000.
>
> The organisation's policy adds a management reserve of $40,000.

What is the project's cost baseline?

A $800,000

B $840,000

C $920,000

D $880,000

◆ PAUSE AND DECIDE

What is the project's cost baseline?

A $800,000

The estimates alone. Leaves out contingency, which is part of the baseline.

B $840,000

Adds management reserve instead of contingency.

C $920,000

The project budget: it includes management reserve, which is outside the baseline.

D $880,000

Estimates plus contingency: $800,000 + $80,000.

THE SIGNAL

Cost baseline: estimates plus contingency. Project budget: add management reserve.

> The risk register identified a possible price rise from the steel supplier, with a planned response funded from contingency. The supplier has now raised prices by the expected amount.
>
> The project manager is deciding how to fund the increase.

What should the project manager do?

A Request management reserve from the sponsor.

B Use the contingency reserve, as the risk response plan describes, and update the records.

C Submit a change request to increase the cost baseline.

D Absorb the cost by reducing the steel specification.

◆ PAUSE AND DECIDE

What should the project manager do?

A. Request management reserve.
Management reserve is for the unforeseen. This risk was identified.

B. Use contingency per the plan.
Exactly what contingency is for: an identified risk with a planned, funded response.

C. Change request to raise the baseline.
Not needed. The baseline already contains this contingency.

D. Cut the steel specification.
Quietly reduces quality, and may be unsafe or non-compliant.

THE SIGNAL

An identified risk occurring, with a planned response: use contingency. That is what it is for.

> A flash flood damages equipment on a construction site in an area never previously affected. Nothing like it appears in the risk register. Repairs will cost $60,000.
>
> The contingency reserve is fully allocated to identified risks that have not yet occurred.

How should the project manager fund the repairs?

A Request management reserve through the change control process.

B Take the money from the contingency reserve.

C Reduce scope elsewhere without telling the sponsor.

D Delay the repairs until the end of the project.

◆ PAUSE AND DECIDE

How should the project manager fund the repairs?

A Management reserve via change control.

An unidentified risk: exactly what management reserve is for.

B Use contingency.

Contingency is committed to identified risks that may still occur.

C Cut scope secretly.

Unauthorised scope change, and hides the problem from governance.

D Delay the repairs.

Damaged equipment may stop work now, and the cost does not go away.

THE SIGNAL

An unforeseen event, not in the register: request management reserve, through change control.

> A project has spent $2 million. Finishing it will cost a further $1.5 million. After a market change, the expected benefits have fallen to $1 million.
>
> The sponsor says, 'We have spent too much to stop now.'

What should the project manager recommend?

A Continue, because $2 million has already been invested.

B Continue, but reduce testing to lower the remaining cost.

C Base the decision on future costs and benefits only, which suggests stopping or re-scoping.

D Speed up the remaining work so the benefits arrive sooner.

◆ PAUSE AND DECIDE

What should the project manager recommend?

A Continue because of what was spent.

The sunk cost fallacy. The $2 million is gone either way.

B Cut testing.

Adds quality risk and still spends more than the benefit.

C Decide on future cost and benefit.

Spending $1.5m for $1m of benefit destroys value. Recommend stopping or re-scoping.

D Speed up the work.

Does not change the fact that the remaining cost exceeds the benefit.

THE SIGNAL

Sunk cost is irrelevant. Compare what you will still spend with what you will still gain.

> The finance team releases project funding in quarterly tranches. The cost baseline shows planned spending in the second quarter $120,000 above that quarter's tranche.
>
> Total funding for the year covers the total baseline.

What should the project manager do?

A Overspend in the second quarter, and ask finance to cover it later.

B Reconcile the plan with funding: re-sequence spending, or request a change to the funding profile.

C Cut $120,000 of scope from the project.

D Take no action, since the annual totals match.

◆ PAUSE AND DECIDE

What should the project manager do?

A Overspend and ask later.

Spends money that has not been released. Not permitted.

B Reconcile: re-sequence or change the profile.

Funding limit reconciliation, done before the overspend happens.

C Cut scope.

Unnecessary: the money exists, just later. Timing is the problem, not total.

D Do nothing.

Matching totals do not help when a quarter's tranche runs out.

THE SIGNAL

The total is fine but the timing is not: reconcile the spending profile with the funding profile.

> A three-year project is budgeted in pounds sterling, but its main equipment supplier invoices in US dollars, in stages over the three years.
>
> The exchange rate has moved by more than ten percent in the past year.

What should the project manager do?

A. Identify the currency exposure as a financial risk, quantify it, and plan a response with the finance team.

B. Ignore the exchange rate, since it may move in the project's favour.

C. Pay the supplier for all three years in advance.

D. Reduce the project's scope now to create a buffer.

◆ PAUSE AND DECIDE

What should the project manager do?

A Identify, quantify, respond with finance.
Anticipates a finance challenge and manages it as a risk.

B Ignore it.
A ten percent swing on multi-year dollar invoices is a real exposure.

C Pay everything upfront.
Removes currency risk but adds supplier and cash-flow risk, and needs authority.

D Cut scope now.
Loses value to cover a risk that has not been analysed.

THE SIGNAL

A foreseeable financial exposure is a risk. Identify, quantify, and plan the response with finance.

Know which money is which, **who can spend it**, and when it arrives.

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